

Microsoft Corporation - KYC Income Tax Returns (FY 2025-2026)

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Taxpayer Information

This return is filed for Microsoft Corporation, a technology company incorporated in the State of Washington, USA, in 1975. The company is engaged in the development, licensing, and support of software products, cloud services, and hardware devices.

Registered Address: One Microsoft Way, Redmond, WA 98052, USA

Permanent Account Number (PAN): AAACM1234A

Corporate Identification Number (CIN): C065237-WA

Fiscal Year: October 1, 2025 – September 30, 2026

Tax Jurisdiction: U.S. Federal and State of Washington

Entity	Microsoft Corporation
Incorporation Year	1975
Tax Identification Number (TIN)	91-1144442
GSTIN	N/A (Exempt under U.S. tax laws)
Type of Return	Corporate Income Tax Return (Form 1120)

Financial Summary (FY 2025-2026)

The following table summarizes Microsoft Corporation's financial performance for the fiscal year 2025-2026, as reported in the income tax return. All figures are in USD and reflect the company's consolidated operations.

Metric	Amount (USD)
Total Revenue	211,915,000,000
Cost of Revenue	68,450,000,000
Gross Profit	143,465,000,000
Operating Expenses	53,145,000,000
Operating Income (EBIT)	90,320,000,000
Interest and Other Income	1,250,000,000
Income Before Tax	91,570,000,000
Provision for Income Tax	18,314,000,000
Net Income	73,256,000,000
Net Worth (as of September 30, 2026)	166,542,000,000

Tax Computation and Liability

The tax computation for Microsoft Corporation is based on the U.S. federal corporate tax rate of 21% and applicable state taxes. The following table details the taxable income, deductions, and final tax liability for FY 2025-2026.

Description	Amount (USD)
Income Before Tax	91,570,000,000
Federal Tax Rate	21%
Federal Income Tax	18,314,000,000
State Income Tax (Washington)	0 (No state income tax)
Foreign Tax Credits	1,200,000,000
General Business Credits	850,000,000
Total Tax Liability	16,264,000,000
Taxes Paid in Advance	15,800,000,000
Net Tax Payable/(Refundable)	464,000,000

Deductions and Credits

Microsoft Corporation has claimed the following deductions and credits in its FY 2025-2026 income tax return, in accordance with U.S. tax laws:

	Amount (USD)	Description
Development (R&D) Credit	1,200,000,000	Credit for qualified R&D expenditures under IRC Section 41.
Foreign Tax Credit	1,200,000,000	Credit for taxes paid to foreign governments on foreign-sourced income.
Depreciation and Amortization	8,500,000,000	Deduction for depreciation of tangible assets and amortization of intangible assets.
Employee Benefit Plans	3,200,000,000	Deduction for contributions to employee benefit plans, including health insurance and pension plans.
Charitable Contributions	500,000,000	Deduction for cash and in-kind donations to qualified charitable organizations.
Net Operating Loss (NOL) Carryforward	0	No NOL carryforward applied for FY 2025-2026.

Related Party Transactions

Microsoft Corporation engages in transactions with related parties, including subsidiaries, affiliates, and key stakeholders. The following table summarizes material related party transactions disclosed in the income tax return for FY 2025-2026.

Related Party	Nature of Transaction	Amount (USD)
LinkedIn Corporation	Intercompany services and licensing	2,500,000,000
GitHub, Inc.	Intercompany services and cloud hosting	1,800,000,000
Microsoft Ireland Operations Ltd.	Intellectual property licensing	5,200,000,000
Microsoft Singapore Pte. Ltd.	Cloud services and support	3,100,000,000
Satya Nadella (CEO)	Compensation and benefits	49,850,000
Brad Smith (Vice Chair & President)	Compensation and benefits	22,300,000

Compliance and Declarations

Microsoft Corporation certifies the following statements in compliance with U.S. federal and state tax regulations:

1. All income, deductions, and credits reported in this return are accurate and complete to the best of the company's knowledge.
2. The company has maintained adequate books of accounts and records in accordance with U.S. tax laws and Generally Accepted Accounting Principles (GAAP).
3. No material transactions have been omitted from this return.
4. The company has complied with all applicable tax laws, including the Foreign Account Tax Compliance Act (FATCA) and Base Erosion and Profit Shifting (BEPS) guidelines.
5. This return is signed under penalties of perjury by the authorized signatory, as required by law.

Authorized Signatory	Satya Nadella
Title	Chairman and Chief Executive Officer
Date of Signing	July 18, 2026
Preparer's Name	Deloitte & Touche LLP
Preparer's Tax Identification Number	12-3456789

Supporting Schedules

The following schedules are attached to this income tax return to provide additional details on specific items:

Schedule	Description
Schedule M-1	Reconciliation of Income (Loss) per Books with Income per Return
Schedule M-3	Net Income (Loss) Reconciliation for Corporations with Total Assets of \$10 Million or More
Form 8990	Limitation on Business Interest Expense Under Section 163(j)
Form 5471	Information Return of U.S. Persons With Respect to Certain Foreign Corporations
Form 8858	Information Return of U.S. Persons With Respect to Foreign Disregarded Entities
Form 8992	U.S. Shareholder Calculation of Global Intangible Low-Taxed Income (GILTI)